CHAPTER 1

Introduction to Organizational Behaviour

Learning Objectives

After studying this chapter, students will be able to:

1. Define organizational behaviour and distinguish it from related disciplines.
2. Describe the nature and scope of OB at individual, group, and organizational levels.
3. Justify the importance of studying OB in modern workplaces.
4. Identify the contributing disciplines of OB — psychology, sociology, anthropology, and political science.
5. Explain the five models of OB and their managerial implications.
6. Analyse current challenges and emerging opportunities in OB.

1.1 Meaning and Definition of Organizational Behaviour

Organizations exist wherever people come together to achieve shared goals. A hospital, a university, a manufacturing firm like Tata Steel, or a start-up in Bengaluru's tech corridor — each is an organization. And in each one, people bring their own expectations, emotions, knowledge, and quirks. Managing that human complexity is what organizational behaviour (OB) is fundamentally about.

Organizational Behaviour (OB) is an applied field of study that examines how individuals, groups, and organizational structures influence behaviour within organizations — and how that behaviour, in turn, shapes organizational outcomes. The ultimate goal is practical: use this knowledge to make organizations more effective and their people more fulfilled.

OB sits at the intersection of management science and the behavioural sciences. It draws from psychology, sociology, anthropology, and political science — disciplines that collectively offer a rich toolkit for understanding why people do what they do at work.

1.1.1 Key Definitions

Scholars have approached OB from different angles. The table below presents some widely cited definitions.

Scholar / Author	Definition
Stephen P. Robbins (2013)	OB is a field of study that investigates the impact that individuals, groups, and structures have on behaviour within organizations for the purpose of applying such knowledge toward improving an organization's effectiveness.
Fred Luthans (2011)	Organizational behaviour is directly concerned with the understanding, prediction, and control of human behaviour in organizations.
Keith Davis & John W. Newstrom (2002)	Organizational behaviour is the study and application of knowledge about how people act or behave within organizations.
Steven L. McShane & Mary Ann Von Glinow (2018)	OB is the study of what people think, feel, and do in and around organizations — including the impact of individual, team, and structural characteristics on behaviour and organizational success.

Scholar / Author	Definition
Callahan, Fleenor, and Kudson	OB is a subset of management activities concerned with understanding, predicting, and influencing individual behaviour in organizational settings.

Taken together, these definitions converge on three verbs: understand, predict, and improve. OB is not merely an academic exercise. It equips managers to design better jobs, resolve conflicts more effectively, and lead teams toward sustained performance.

> **KEY TERM — Organizational Behaviour (OB)**
> An applied interdisciplinary field that studies the impact of individuals, groups, and organizational structures on behaviour within organizations, with the aim of improving organizational effectiveness and employee well-being.

1.1.2 Organization as a System

Before engaging with behaviour, we must understand what an organization is. An organization is a purposeful, coordinated system in which people work interdependently toward common goals. Two functions are central to its design: division of labour — how tasks are distributed — and coordination, which integrates these tasks into coherent outcomes.

Two core assumptions underpin OB's view of organizations. First, the nature of people — including their individual differences, perception, motivation, and values. Second, the nature of the organization — particularly its structure, culture, and processes. OB studies the interaction between these two forces.

Figure 1.1

Two Foundational Pillars of Organizational Behaviour



> **Exam Tip**
> OB is often tested through its definitions. Remember the three core objectives — understand, predict, and control human behaviour. Robbins' definition is the most commonly cited in examinations.

1.2 Nature and Scope of Organizational Behaviour

OB is not a single, unified theory. It is better understood as a mosaic — assembled from psychology, sociology, anthropology, and other disciplines — applied to the workplace. Several defining characteristics describe its nature.

1.2.1 Nature of OB

1. An Applied Behavioural Science: OB derives its concepts from established behavioural sciences but applies them to real organizational contexts. It translates theory into practical managerial guidance.

2. Interdisciplinary in Character: No single discipline fully explains workplace behaviour. OB borrows — and synthesizes — from psychology, sociology, anthropology, and political science.

3. A Humanistic and Optimistic Orientation: OB assumes that people are complex, capable of growth, and respond positively when treated with respect and given meaningful work.

4. Both Art and Science: OB uses scientific methods — surveys, experiments, case studies — to generate knowledge. Yet its application demands judgment, intuition, and the art of reading people.

5. Contingency Approach: OB rejects one-size-fits-all solutions. Context determines the right approach. What works in a hierarchical public sector organization in Odisha may not work in a flat-structured tech firm in Hyderabad.

6. Performance-Oriented: At its core, OB seeks to improve performance — both organizational efficiency and individual well-being. Research shows that satisfied, motivated employees consistently deliver better outcomes.

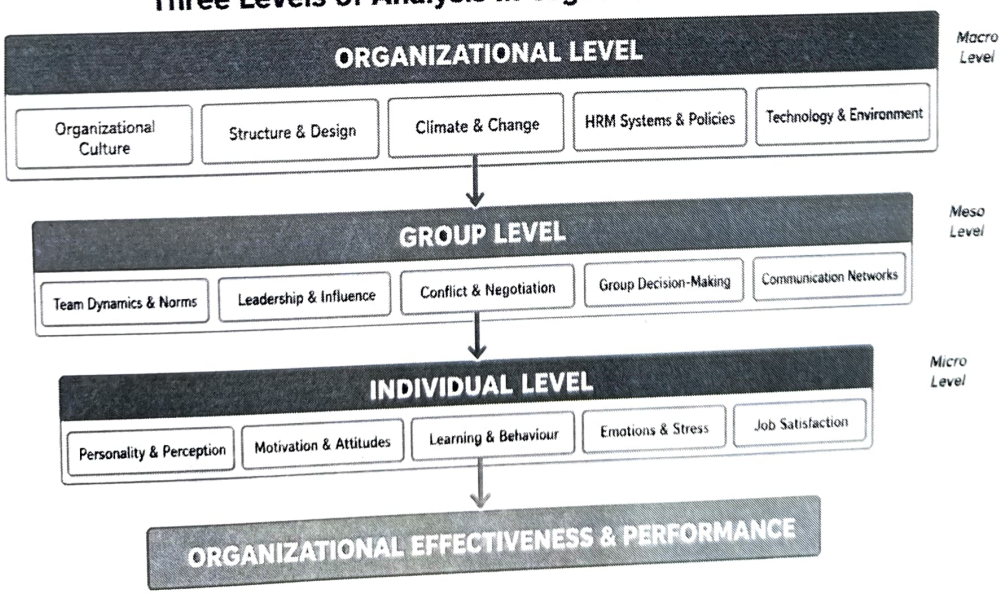
7. Change-Driven: Modern organizations operate in volatile environments. OB prepares managers to lead change, handle resistance, and sustain organizational agility.

1.2.2 Scope of OB

The scope of OB extends across three levels of analysis. Understanding behaviour at each level — and the interactions among them — is essential for effective management.

Figure 1.2

Three Levels of Analysis in Organizational Behaviour



Level 1: Individual Behaviour

The most fundamental level focuses on the individual employee. OB examines how personality, perception, learning, attitudes, and motivation shape an employee's performance. Understanding why two employees with identical qualifications respond very differently to a new performance appraisal policy requires individual-level analysis.

Level 2: Inter-Individual and Group Behaviour

Humans are social beings. At work, they form relationships, develop informal norms, and operate in teams. This level examines interpersonal communication, group dynamics, leadership styles, conflict patterns, and group decision-making. When Tata Consultancy Services structures its delivery teams, it draws on OB principles to design effective group compositions.

Level 3: Organizational Behaviour

At the highest level, OB examines how the organization as a whole — its structure, culture, climate, and systems — shapes the behaviour of its members. Organizational culture at Reliance Industries is markedly different from that at a government undertaking. Both cultures drive distinct behavioural patterns and outcomes.

> **Exam Tip**
> The three levels of OB analysis — individual, group, and organizational — are a recurring exam topic. Be prepared to give examples at each level and explain how they interact.

1.3 Importance and Need for Studying OB

Why should commerce students study organizational behaviour? The answer is direct: every career trajectory eventually involves working with people, leading teams, or managing organizations. OB provides the conceptual foundation for doing this effectively and ethically.

1.3.1 Importance of OB

1. Predicting and Managing Human Behaviour: OB equips managers to anticipate how employees are likely to behave under different conditions — stress, change, incentives, or conflict — and to intervene appropriately before small problems become crises.

2. Improving Organizational Effectiveness: Organizations are not just collections of processes and systems. They are communities of people. OB reveals the human dimension of effectiveness: how motivation, communication, and leadership drive results. Companies that score high on employee engagement consistently outperform their peers on financial metrics (Harter et al., 2020).

3. Building a Positive Work Environment: A manager who understands OB can design workplaces where employees feel safe, respected, and motivated. This directly reduces absenteeism, turnover, and workplace conflict — three significant cost drivers for any organization.

4. Facilitating Effective Leadership: Leadership is not a trait one is born with. OB shows that effective leaders read situations, adapt their style, and understand the psychological needs of their followers.

5. Managing Diversity: Indian workplaces are inherently diverse — across language, religion, gender, age, and region. OB provides frameworks for managing this diversity constructively, turning differences into innovation engines rather than sources of conflict.

6. Enabling Strategic Human Resource Management: OB informs HRM practices — how to design jobs that motivate, how to structure performance appraisals that are perceived as fair, and how to develop training programmes that actually change behaviour.

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7. Developing Competitive Advantage: Committed, capable, and well-led human resources form a sustainable competitive advantage. Organizations like HDFC Bank and Asian Paints have built their reputations partly on the strength of their human capital, shaped by deliberate OB-informed practices.

8. Supporting Change Management: All organizations must change. OB explains why people resist change, how to communicate change effectively, and what leadership behaviours reduce resistance. Without OB knowledge, change initiatives frequently fail — not for technical reasons, but human ones.

Figure 1.3



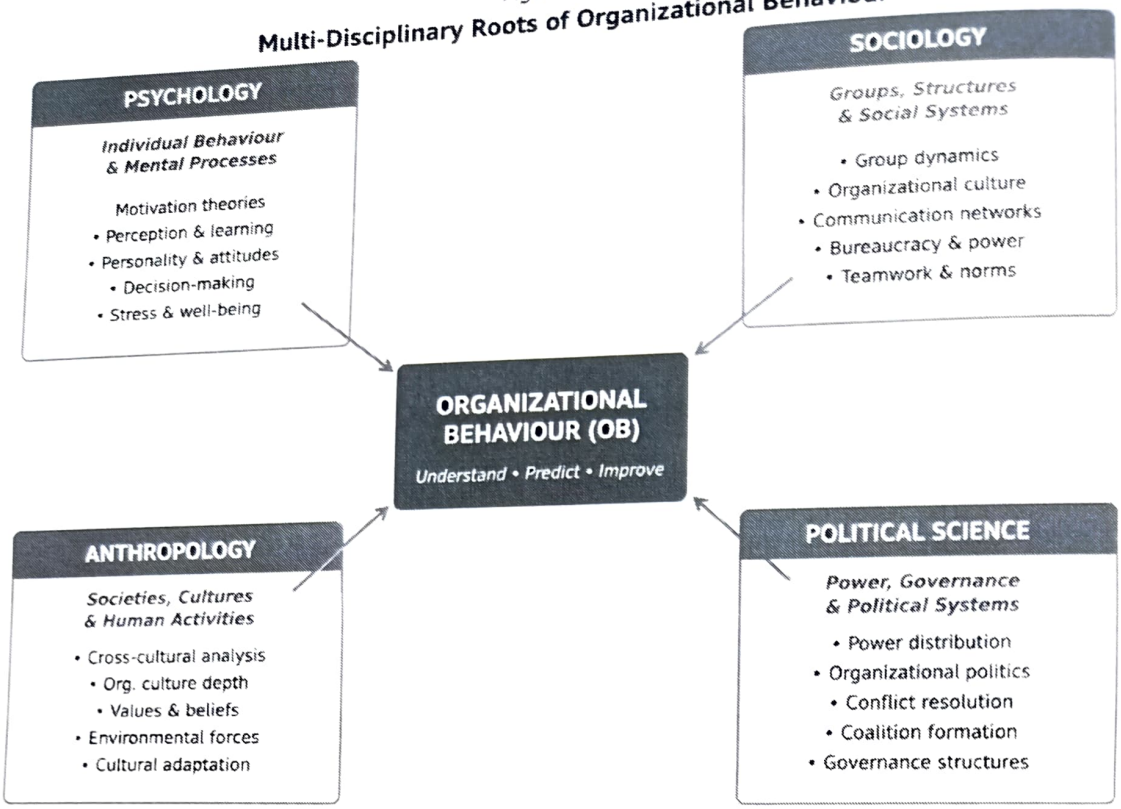
> **Exam Tip**
> When answering questions on 'importance of OB', organize using the three levels: individual, group, and organization. Always provide a brief illustration for each point.

1.4 Contributing Disciplines to Organizational Behaviour

OB does not stand alone. It is — and has always been — a borrower. It draws concepts, theories, and research methods from several established disciplines. Each contributes a distinct lens through which workplace behaviour becomes more intelligible.

Figure 1.4

Multi-Disciplinary Roots of Organizational Behaviour



1.4.1 Psychology

Psychology — derived from the Greek psyche (soul or mind) — is the scientific study of behaviour and mental processes. It is the single largest contributor to OB, particularly to our understanding of individual behaviour.

Industrial and Organizational Psychology (I/O Psychology) forms the direct bridge between psychology and the workplace. Key psychological contributions to OB include the study of motivation (through theories developed by Abraham Maslow, Frederick Herzberg, and Victor Vroom), perception, learning theory — classical conditioning, operant conditioning, and social learning — personality theory, and cognitive psychology's contribution to decision-making bias research.

> **KEY TERM — I/O Psychology**
> A branch of psychology that applies psychological theory and research methods to organizational settings, addressing issues such as employee selection, motivation, leadership, and workplace well-being.

In Indian organizations, psychology's contribution is visible in assessment centres, psychometric testing during recruitment (widely used by companies like Wipro and Mahindra), and structured training needs analyses. The growing field of positive organizational psychology — studying strengths, resilience, and engagement — is increasingly influencing Indian HR practice.

1.4.2 Sociology

While psychology focuses on the individual, sociology examines people in relation to one another and to the social systems they inhabit. It studies groups, institutions, society, and the structures that shape collective behaviour.

Sociology enriches OB's understanding of group dynamics — how groups form, develop norms, exercise social pressure, and make collective decisions. Max Weber's analysis of bureaucracy remains foundational to understanding how authority, rules, and hierarchy shape organizational life. From sociology, OB borrows frameworks for understanding organizational culture — the shared values, beliefs, and assumptions that guide behaviour across the whole organization.

The Hawthorne Studies — conducted at Western Electric's Hawthorne Works between 1924 and 1932 — were fundamentally sociological in their revelation that social norms, group identity, and managerial attention (not just physical conditions) drive worker productivity.

> **KEY TERM — Organizational Culture**
> The system of shared values, beliefs, norms, and assumptions that define the character of an organization and influence how its members think, behave, and interact.

1.4.3 Anthropology

Anthropology is the scientific study of human societies and cultures — their origins, development, and diversity. OB draws on anthropology primarily to understand organizational culture from a deeper, ethnographic perspective. Edgar Schein's influential model of organizational culture — distinguishing between visible artefacts, espoused values, and underlying assumptions — reflects strong anthropological influence.

Cross-cultural management owes its foundations to anthropological research. Geert Hofstede's seminal study of cultural dimensions (power distance, individualism-collectivism, uncertainty avoidance, and masculinity-femininity) provides a framework rooted in comparative anthropology that managers use to navigate cultural differences in international business.

> **KEY TERM — Cross-Cultural Management**
> The application of OB concepts across different national and cultural settings, recognising that cultural context significantly shapes management practices and employee behaviour.

1.4.4 Political Science

Political science is the systematic study of political systems, governance, power, and collective decision-making. Its relevance to OB lies in a simple truth: organizations are political systems in miniature. Power is distributed unequally. Resources are scarce and competed for. Coalitions form, alliances shift, and decisions are as much the product of political manoeuvring as rational analysis.

From political science, OB inherits frameworks for analysing power — its sources (expert, referent, coercive, reward, and legitimate power), distribution, and exercise. Research on organizational politics draws on political science theory to explain why employees engage in impression management, information control, and coalition-building to advance their interests.

> **KEY TERM — Organizational Politics**
> Activities undertaken by individuals or groups to acquire, develop, and use power and resources in organizations to obtain preferred outcomes in situations of uncertainty or disagreement.

Table 1.1: Summary of Disciplines Contributing to Organizational Behaviour

Discipline	Primary Focus	Key Contributions to OB
Psychology	Individual behaviour, mental processes	Motivation, perception, learning, personality, attitudes, job satisfaction, stress

Discipline	Primary Focus	Key Contributions to OB
Sociology	Groups, social structures, institutions	Group dynamics, organizational culture, power, communication, bureaucracy, teamwork
Anthropology	Societies, cultures, human activities	Cross-cultural analysis, organizational culture, values, norms, environment
Political Science	Power, governance, political systems	Power distribution, conflict resolution, organizational politics, coalition formation

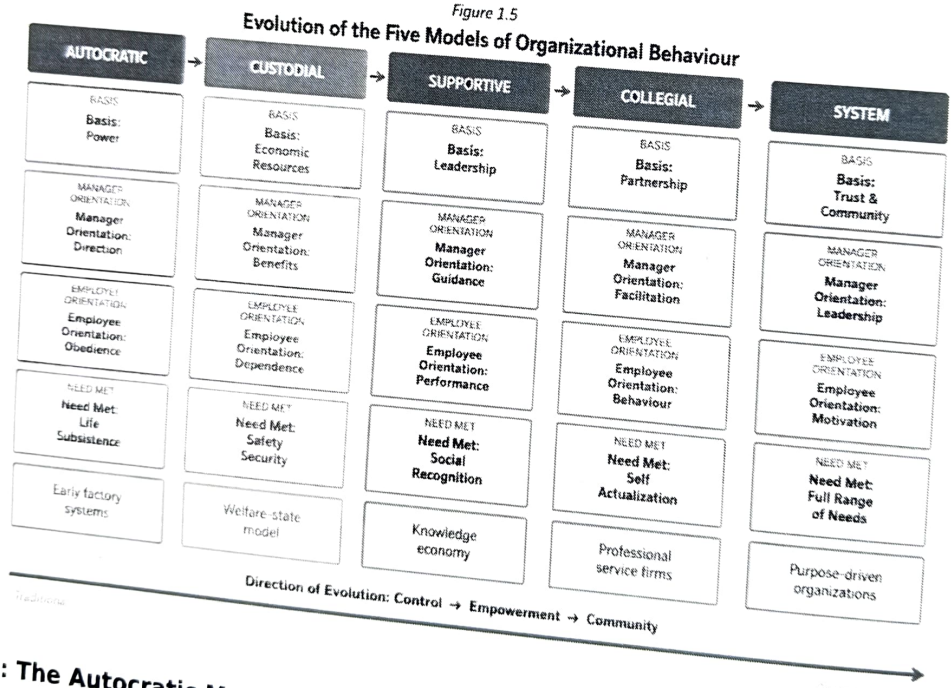
> **Exam Tip**
>
> A common exam question asks: 'What does each discipline contribute to OB?' Construct a brief table in your answer — it demonstrates organized thinking and earns full marks.

1.5 Models of Organizational Behaviour

A model is a simplified representation of reality. OB models represent the prevailing assumptions managers hold about people — what motivates them, what they need, and how they should be managed. These assumptions matter enormously because they translate directly into managerial practice.

Keith Davis and John Newstrom identified five models of OB that have evolved over time, each reflecting a distinct stage of management thought. The overall trajectory moves unmistakably from control toward empowerment.

Figure 1.5



Model 1: The Autocratic Model

The autocratic model rests on the assumption that employees are inherently lazy, irresponsible, and require close supervision. The manager's role is to direct, command, and enforce compliance. Authority is centralized, and employees are expected to obey without question. While this model may deliver short-term compliance, it produces disengagement, resentment, and high turnover over time.

Managerial orientation: Authority. **Employee orientation:** Obedience. **Need met:** Subsistence.

Model 2: The Custodial Model

The custodial model emphasizes economic security as the primary motivator. Organizations began offering better wages, pensions, health insurance, and job security. The problem is that it buys compliance, not commitment. Employees work for the package, not for the mission. Many large public sector organizations in India exemplify the custodial model's strengths and limitations.

Managerial orientation: Money (economic resources). **Employee orientation:** Security and benefits. **Need met:** Security.

Model 3: The Supportive Model

Based on Elton Mayo's human relations findings and Likert's systems of management, the supportive model assumes that employees want to contribute, grow, and perform — if given the right support and encouragement. The manager's task is to help employees achieve their potential. Companies like Infosys and HCL Technologies have built managerial practices informed by the supportive model.

Managerial orientation: Support and leadership. **Employee orientation:** Job performance. **Need met:** Status and recognition.

Model 4: The Collegial Model

The collegial model extends the supportive model by emphasizing partnership. Managers and employees work as colleagues toward shared goals. The organizational structure flattens; authority becomes less hierarchical. Teamwork, mutual respect, and collective accountability replace individual compliance. The growing prevalence of self-managed teams in Indian IT firms reflects the collegial model's increasing relevance.

Managerial orientation: Teamwork and partnership. **Employee orientation:** Responsible behaviour. **Need met:** Self-actualization.

Model 5: The System Model

The system model reflects the values of positive organizational behaviour — trust, caring, community, and meaning. The organization becomes a system in which every member's needs, goals, and contributions are integrated into a coherent whole. Managers believe that releasing the imagination, intellect, and energy of all employees — not just top management — is the path to sustained competitive advantage. Organizations that consistently appear in 'Best Employer' rankings — such as Tata Consultancy Services and certain cooperatives in the Amul model — demonstrate system model characteristics.

Managerial orientation: Caring and trust. **Employee orientation:** Self-motivation and commitment. **Need met:** Broad range of needs.

Table 1.2: Comparative Summary of the Five OB Models

Model	Basis	Mgr. Orientation	Employee Orientation	Need Met
Autocratic	Power	Authority	Obedience	Subsistence
Custodial	Economic resources	Money	Security	Security
Supportive	Leadership	Support	Performance	Status & Recognition
Collegial	Partnership	Teamwork	Responsibility	Self-Actualization
System	Trust & caring	Caring	Self-motivation	Full range of needs

> **Exam Tip**
>
> The five OB models are among the most frequently examined topics. Practise writing a comparative table from memory. For each model, remember: basis → managerial orientation → employee orientation → need met.

1.6 Challenges and Opportunities in Organizational Behaviour

The workplace of the twenty-first century is not the same as the one for which classical OB models were designed. Globalization, digital disruption, demographic shifts, and the post-pandemic restructuring of work have created new challenges — and opened significant opportunities for those who understand OB well.

1.6.1 Major Challenges

1. Workforce Diversity: Organizations today employ people from different generations, religions, linguistic backgrounds, genders, and nationalities. Managing this diversity equitably and productively is a central OB challenge. India's demographic richness makes this particularly acute.

2. Improving Quality and Productivity: Competitive markets demand constant improvement. OB contributes through employee empowerment, motivational design, and team-based problem-solving. Total Quality Management (TQM) programmes depend on OB insights to sustain employee engagement over time.

3. Managing Technological Change and Automation: Artificial intelligence, robotics, and digital platforms are reshaping job roles at unprecedented speed. OB provides frameworks for leading through this disruption humanely and effectively.

4. Responding to Globalization: Indian firms increasingly operate across national boundaries — through global expansion (Tata, Reliance, HCL) or deep integration with global supply chains. OB helps managers navigate cultural differences and manage virtual global teams.

5. Empowering the Workforce: Modern employees — particularly millennials and Generation Z — seek autonomy, purpose, and growth. Command-and-control management fails to engage them. OB provides tools for designing empowering work environments.

6. Work-Life Balance and Employee Well-Being: Burnout, stress, and mental health challenges have intensified — particularly since COVID-19 normalised hybrid and remote work. OB helps organizations design policies and cultures that sustain employee well-being without sacrificing performance.

7. Ethical Behaviour and Corporate Governance: Organizational scandals often have their roots in dysfunctional cultures that normalized unethical behaviour. OB offers insights into how to build ethical cultures and design governance structures that reduce the risk of misconduct.

8. Managing Temporary and Gig Workers: The rise of the gig economy creates new OB challenges. India's gig workforce, estimated at over 77 lakh workers (NITI Aayog, 2022), makes this not just a theoretical question but an urgent practical one.

1.6.2 Emerging Opportunities

1. Building High-Performance Cultures: OB knowledge enables organizations to design cultures that are simultaneously high-performing and high-trust.

2. Leveraging Positive Organizational Behaviour (POB): Research on psychological capital — comprising hope, efficacy, resilience, and optimism (HERO) — shows that investing in employee strengths yields measurable performance dividends.

3. Designing Inclusive Organizations: Organizations that embed inclusion at every level of their people practices gain access to broader talent pools, more creative problem-solving, and stronger stakeholder relationships.

4. Evidence-Based Management: OB's scientific foundation enables managers to make people decisions based on data and evidence rather than intuition and tradition.

5. Digital Leadership and Virtual Team Management: Managing remote and hybrid teams effectively is a skill set in high demand. OB principles — adapted for digital environments — guide leaders in building trust and sustaining productivity across distances.

Figure 1.6

Challenges and Opportunities in Contemporary Organizational Behaviour



Exam Tip

When answering questions on challenges in OB, distinguish between internal challenges (culture, ethics, motivation) and external forces (globalization, technology, gig economy). This analytical framing earns extra marks.

Chapter Summary

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1. Organizational Behaviour (OB) is an applied, interdisciplinary field studying how individuals, groups, and structures influence behaviour in organizations, with the goal of improving effectiveness and employee well-being.
2. OB operates across three levels of analysis: individual, group, and organizational. These levels are interrelated and mutually reinforcing.
3. Its nature is applied, interdisciplinary, humanistic, contingency-based, and performance-oriented. It is both a science and an art.
4. OB's importance spans predicting behaviour, improving organizational effectiveness, building positive work environments, facilitating leadership, managing diversity, and enabling change.
5. Four core disciplines contribute to OB: Psychology (individual behaviour), Sociology (groups and structures), Anthropology (culture and environment), and Political Science (power and politics).
6. Five models of OB have evolved from autocratic (control) to system (trust and community), reflecting progressively sophisticated understandings of human motivation.
7. Contemporary challenges include managing diversity, technological disruption, globalization, the gig economy, and ethical behaviour — each carrying significant opportunities for OB-informed leadership.

Practice Questions

A. Multiple Choice Questions (MCQs)

1. Organizational Behaviour is primarily concerned with:

(a) Economic analysis of firms

(b) Understanding, predicting, and controlling human behaviour in organizations

(c) Financial performance of organizations

(d) Studying legal frameworks of employment

Answer: (b) Understanding, predicting, and controlling human behaviour in organizations

2. Which of the following is NOT a level of analysis in OB?

(a) Individual level

(b) Group level

(c) National level

(d) Organizational level

Answer: (c) National level

3. The Hawthorne Studies are primarily associated with which discipline's contribution to OB?

(a) Political science

(b) Economics

(c) Sociology and social psychology

(d) Anthropology

Answer: (c) Sociology and social psychology

4. The OB model that emphasizes economic security and benefits as the primary motivator is:

(a) Autocratic model

(b) Custodial model

(c) Supportive model

(d) System model

Answer: (b) Custodial model

5. Cross-cultural analysis and organizational culture as deep shared values are primarily contributions of:

(a) Economics

(b) Political science

(c) Anthropology

(d) Sociology

Answer: (c) Anthropology

6. The contingency approach in OB means:

(a) There is one best way to manage all organizations

(b) Management style should depend on the specific situation and context

(c) Employees are primarily motivated by money

(d) Organizations should avoid change whenever possible

Answer: (b) Management style should depend on the specific situation and context

7. Which OB model best describes an organization with high trust, caring leadership, and employee self-motivation?

(a) Collegial model

(b) Custodial model

(c) Supportive model

(d) System model

Answer: (d) System model

8. NITI Aayog (2022) estimated India's gig workforce at approximately:

(a) 10 lakh workers

(b) 25 lakh workers

(c) 77 lakh workers

(d) 1 crore workers

Answer: (c) 77 lakh workers

B. Short Answer Questions

1. Define organizational behaviour. How does it differ from general management?

2. List and briefly explain the three levels of analysis in OB.
3. What is the contingency approach to OB? Why is it preferred over universal theories?
4. Explain the contribution of psychology to organizational behaviour.
5. Distinguish between the autocratic and supportive models of OB.
6. What is organizational culture? Which discipline contributes most to its study in OB?
7. List four challenges that contemporary organizations face in the area of OB.
8. What is psychological capital (PsyCap)? How does it relate to positive OB?

C. Long Answer / Descriptive Questions

1. Define organizational behaviour. Discuss its nature, scope, and importance with reference to contemporary Indian organizations.
2. Explain the multidisciplinary nature of OB. How do psychology, sociology, anthropology, and political science each contribute to our understanding of workplace behaviour? Illustrate with examples.
3. Describe the five models of organizational behaviour as identified by Davis and Newstrom. Trace the evolution from the autocratic to the system model, explaining the managerial implications of each.
4. What are the major challenges facing organizational behaviour in the twenty-first century? How can organizations convert these challenges into opportunities?
5. Explain the three levels of analysis in OB — individual, group, and organizational. How do these levels interact to shape overall organizational effectiveness?
6. 'Organizational Behaviour is both a science and an art.' Critically examine this statement with appropriate arguments and examples.

D. Case-Based / Analytical Question

Case Study — The Changing Culture at Navratna Tech

Navratna Tech is a mid-sized Indian IT company employing 3,500 engineers across offices in Pune, Chennai, and Bhubaneswar. Founded in 2005 by two IIT graduates, the company grew rapidly on the strength of its technical capabilities and a close-knit team culture. For its first decade, Navratna operated on strongly supportive and collegial principles: open-door management, flat hierarchies, and a culture of trust.

In 2019, a private equity investor acquired a 40% stake and appointed a new CEO with a background in financial engineering. The new CEO introduced strict performance metrics, cut team budgets, and centralized decision-making. Managers were required to seek approvals for even minor operational decisions. Employee satisfaction scores dropped sharply in the following year. Attrition rose from 8% to 22%. Several senior engineers resigned to join competitors.

The new CEO, puzzled by the response, commissioned a management consultant's review. The consultant concluded: 'Navratna has shifted from a System model to an Autocratic model in the space of 18 months. The change has not gone unnoticed by employees, and they have responded in the only way available to them — by leaving.'

Discussion Questions:

1. Using the five models of OB, explain the transition that Navratna Tech underwent between 2019 and 2020.
2. What specific OB concepts explain the rise in attrition and drop in employee satisfaction?
3. If you were advising the CEO, what OB-informed interventions would you recommend to restore effectiveness?